

of *Financial Studies* 22, no. 5 (2009): 1915–1953.

² Jeff Benjamin, “Cliff Asness Says Market Volatility Is Reason to Diversify,” *Investment News* (October 16, 2014), <http://www.investmentnews.com/article/20141016/FREE/141019939/cliff-asness-says-market-volatility-is-a-good-reason-to-diversify>.

³ “Investment Return of 20.2% Brings Yale Endowment Value to \$23.9 Billion,” *Yale News* (September 24, 2014), <http://news.yale.edu/2014/09/24/investment-return-202-brings-yale-endowment-value-239-billion>.

⁴ E. F. Schumacher, *Small Is Beautiful: Economics as if People Mattered* (London: Blond & Briggs, Ltd., 1973).

⁵ David W. Swensen, *Unconventional Success: A Fundamental Approach to Personal Investment* (New York: Simon & Schuster, 2005).

⁶ William J. Bernstein, *The Intelligent Asset Allocator: How to Build Your Portfolio to Maximize Returns and Minimize Risk* (New York: McGraw-Hill, 2001).

⁷ For the Swensen portfolio, we combine the 15 percent inflation-protected bonds exposure with the 15 percent conventional bond exposure because data on Treasury-Inflation-Protected Securities (TIPS) is limited. We have also done the analysis over the period when TIPS are available and the results are quantitatively similar.

⁸ Victor DeMiguel, Lorenzo Garlappi, and Raman Uppal, “Optimal Versus Naïve Diversification: How Inefficient Is the 1/N Portfolio Strategy?” *Review of Financial Studies* 22, no. 5 (2009): 1915–1953.

⁹ *Ibid.*, p. 1915.

¹⁰ Additionally, Victor DeMiguel, Yuliya Plyakha, Raman Uppal, and Grigory Vilkov have been working on finding methods to improve the 1/N strategy. Their recent paper, “Improving Portfolio Selection Using Option-Implied Volatility and Skewness,” *Journal of Financial and Quantitative Analysis* 48, no. 6 (December 2013), suggests that it might